

‘Storm’ looms for aviation as EU plans to price emissions from international flights

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By Tommaso Lecca, Sara Schonhardt · Jul 16, 2026, 6:08 PM · [View in your browser](#)

BRUSSELS — The European Union risks a fresh confrontation with the U.S., China and big airlines when it issues a review Friday widely expected to extend carbon pricing to all international flights departing from the bloc.

Washington and Beijing have both threatened retaliation against any effort by the EU to hit airlines flying beyond the bloc with higher carbon costs under its Emissions Trading System — part of the European Commission’s effort to make the EU climate neutral by 2050.

Peter Liese, the European People’s Party’s environment lead in the European Parliament, said he had seen a draft Commission proposal that would extend the ETS to all departing flights, including those “to Washington, to China, to Latin America.”

“This will create a storm,” he said on Wednesday.

The ETS is a cap-and-trade scheme that requires polluters to buy allowances to cover their greenhouse gas emissions. In 2012, the EU began taxing aviation emissions through the ETS , covering all flights within the European Economic Area — meaning EU countries plus Iceland, Liechtenstein and Norway.

In parallel, the U.N.’s International Civil Aviation Organization worked on its own carbon reduction plan, the Carbon Offsetting and Reduction Scheme for International Aviation. Brussels delayed imposing the ETS on flights to non-European destinations until the U.N. scheme became operational.

Friday’s assessment will analyze how CORSIA aligns with the Paris Agreement’s climate goals and whether participating countries account for at least 70 percent of international aviation emissions, one of the legal thresholds governing whether the exemption can continue. If the U.N. scheme falls short, the EU could propose extending the ETS for aviation starting in 2027.

Earlier this year, Polona Gregorin, head of unit for transport at the Commission’s climate department, said the final goal “is to have effective carbon pricing for the full share of EU emissions,” which means an end to the exemption for non-EU flights.

Airlines fight back

Airlines argue that it could hit them with much higher carbon costs than their non-EU rivals, while Washington and Beijing have warned for years that any effort to impose fees on their carriers could

spark retaliation.

"A Trump administration would almost certainly view such a move as an extraterritorial regulatory measure rather than purely a climate policy," said aviation consultant Linus Benjamin Bauer.

U.S. President Donald Trump, who has called climate change a "con job," has overseen an assault on green policies domestically, worked to sink international measures aimed at curbing global warming and lashed out at other nations for investing in clean energy. He pulled the U.S. out of the Paris Agreement and helped derail an effort to tax climate pollution from shipping.

The EU has run into pushback before with extending its ETS to international aviation.

When Brussels proposed pricing carbon emissions from flights to and from the bloc in 2012, China, India and several other countries objected and Beijing even threatened to cancel orders for Airbus aircraft worth billions of euros.

The current review "could reopen trade and aviation disputes similar to those seen a decade ago and complicate broader EU-U.S. relations," Bauer added. "Aviation has historically become a proxy for wider geopolitical disagreements."

Liese warned, "I don't think it's wise. It's not a smart solution," and said he doesn't know of anyone in his center-right European People's Party grouping backing the idea.

But the Commission says it is required to review CORSIA by the middle of this year.

"There is a legal obligation for us to expand the [ETS] scope of aviation. Obviously, we fully realize that this is easier said than done," an EU official told reporters last week.

But the EU's plans risk setting off a global battle.

The U.N. scheme, which becomes mandatory in 2027, sells its credits at a much lower price than the ETS, but climate campaigners feel it isn't nearly as effective in cutting emissions.

"There's multiple issues," said Archie Brown, an aviation consultant at IBA, pointing to the low cost and supply of CORSIA credits. He argued that it makes sense for the EU to extend the ETS, even if airlines object.

"I think it's going to send market signals back to people to take sustainable aviation more seriously," he said. "The cost is inevitable in any major transition like this, and I think it's overstated how much this is going to be passed on consumers."

An analysis Brown conducted in April found that U.S. airlines are much less exposed to ETS costs than European carriers, with United Airlines facing only a 2 percent to 3 percent increase in their fuel budgets.

The U.S. has participated in CORSIA in the decade since it launched. Even the current Trump administration has quietly accepted the scheme, sending a full delegation to ICAO's assembly meeting last year.

But the U.S. passed legislation in 2012 saying that if the EU expands the ETS to cover U.S. carriers, the U.S. secretary of transportation has power to tell the airlines they don't have to comply and could potentially compensate them for any penalties they may face, said Jennifer Haverkamp, a former State Department official who led negotiations to establish CORSIA.

Other airlines participating in CORSIA are also watching the EU discussion closely.

“We hope any decision will not create additional challenges for the aviation industry to meet decarbonisation targets and weaken global climate ambitions,” Yap Mun Ching, chief sustainability officer of AirAsia Group, said in an email. AirAsia doesn’t currently fly to Europe.

Rival carbon schemes

According to a simulation by airline lobby Airlines for Europe that assumes the ETS is extended to all flights departing from the EU, a flight from Nice, France, to Tokyo via a stopover in Paris in 2030 would incur €81 in ETS costs per passenger. However, the charge would be only €21 if the journey were routed through a non-EU stopover as the expanded ETS would apply only to the first leg departing from the bloc.

“That’s a price difference of €60 per passenger ... The average economy fare on that route is around €600,” said Ourania Georgoutsakou, A4E’s managing director, arguing that a 10 percent price difference is potentially decisive in an industry with single-digit profit margins .

Concerns over the competitiveness of EU airlines are also alarming the European Transport Workers’ Federation, which this week wrote to Commission President Ursula von der Leyen in a letter seen by POLITICO that urges her not to propose an ETS extension without first ensuring “that the measure will produce real global emissions reductions and will not lead to significant carbon, traffic or employment leakage.”

But green NGOs argue that the airline industry has benefited from preferential treatment for too long when it comes to carbon pricing and that additional ETS revenues could help finance cleaner alternatives.

“A scope extension to all departing flights would increase ETS revenues by €7 billion, which can be used to broadly fund the development of sustainable aviation fuels, electric aviation, and critical non-CO2 mitigation like contrail avoidance,” said Vincent de Haes, aviation senior policy manager at green NGO Transport & Environment.

The pressure from airlines, climate groups, and key trade partners like China and the U.S. is putting the Commission in a delicate position.

“Given the lessons of 2012, Brussels will be careful to avoid triggering unnecessary geopolitical tensions, but it is also under growing pressure to demonstrate climate credibility,” said Bauer, the aviation consultant.

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